

Equal-Weight vs Risk Parity Comparison

Analysis results for the 10-year window as of 2026-05-15

Executive Summary

Equal-Weight and Risk Parity are compared on the same asset universe and reporting window. Equal-Weight CAGR is 11.20% versus 7.40% for Risk Parity. Equal-Weight volatility is 10.30% versus 7.50% for Risk Parity. The CAGR delta (EW minus RP) is 3.70%.

Key Metrics

Metric	Equal-Weight	Risk Parity	Delta (EW - RP)
CAGR	11.20%	7.40%	3.70%
Volatility	10.30%	7.50%	2.90%
Max Drawdown	-20.60%	-18.90%	-1.80%
Sharpe	0.858	0.698	0.160
Sortino	1.201	0.976	0.225
Market Sensitivity	0.423	0.268	0.155

Main Risk Contributors

Instrument	Equal-Weight	Risk Parity	Delta (EW - RP)
GLD	12.30%	12.60%	-0.30%
QQQ	19.30%	12.60%	6.70%
SCHD	12.80%	12.60%	0.20%
SLV	28.10%	12.70%	15.40%
SPY	16.00%	12.60%	3.40%

Stress Context

- Equal-Weight:** One risk area requires attention.
- Risk Parity:** Diagnostic status.

Both variants are calculated from the same available data; the difference is the weighting method.